their alpha signal—which is usually very short-term (before the end of the day). They often close or net their positions through market orders, and do so especially when they can lock in a profit. Additionally, some of the opportunistic AMM may continuously net positions throughout the day so that they keep very little cash exposure. These parties also try to profit via rebates, and utilize limit order models (and other statistical models relying on real-time data) to infer buying and selling pressure and their preferred prices.

DIRECT MARKET ACCESS

Direct market access or "DMA" is a term used in the financial industry to describe the situation where the trader utilizes the broker's technology and infrastructure to connect to the various exchanges, trading venues, and dark pools. The buy-side trader is responsible for programming all algorithmic trading rules on their end when utilizing the broker for direct market access. Often funds combine DMA services with broker algorithms to have a larger number of execution options at their disposal.

Brokers typically provide DMA to their clients for a reduced commission rate but do not provide the buy-side trader with any guidance on structuring the macro- or micro-level strategies (limit order strategies and smart order routing decisions). Investors utilizing DMA are required to specify all slicing and pricing schemes, as well as the selection of appropriate pools of liquidity on their own.

In the DMA arena, the buy-side investor is responsible for specifying:

1. *Macro trading rules.* Specify the optimal trading time and/or trading rate of the order.
2. *Adaptation tactics*. Rules to determine when to accelerate or decelerate trading, based on market prices, volume levels, realized costs, etc.
3. *Limit order strategies.* How should the order be sliced into small pieces and traded in the market, e.g., market or limit order, and if limit order, at what price and how many shares.
4. *Smart order routing logic.* Where should orders be posted, displayed or dark, how long should we wait before revising the price or changing destination, how to best take advantage of rebates.

The investor then takes advantage of the broker's DMA connectivity to route the orders and child orders based on these sets of rules. Under DMA, the investor is in a way renting the broker's advanced trading platforms, exchange connectivity, and market gateways.